

25STCV34137 25STCV34137

County: los-angeles

Division: Civil Law and Motion

Department: 415

Hearing date: 2026-07-07

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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

July 7, 2026

CASE NUMBER

25STCV34137

MOTIONS

Demurrer to Complaint;

Motion to Strike Portions of Complaint

MOVING PARTY

Defendant American

Honda Motor Co., Inc.

OPPOSING PARTIES

Plaintiffs Maria E. Cruz and Salvador Correa

MOTION

Plaintiffs Maria

E. Cruz and Salvador Correa ("Plaintiffs") brought this action against

Defendant American Honda Motor Co., Inc. ("Defendant") primarily under the

Song-Beverly Consumer Warranty Act (Song-Beverly). Defendant demurs to Plaintiffs' complaint. Defendant also moves to strike portions of

the complaint. Plaintiffs oppose the motions.

ANALYSIS

"It is black

letter law that a demurrer tests the legal sufficiency of the allegations in a

complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385,

388.) In ruling on a demurrer, the court must "liberally construe[]" the

allegations of the complaint. (Code Civ. Proc., § 452.) "This rule of liberal construction means that

the reviewing court draws inferences favorable to the plaintiff, not the

defendant." (Perez v. Golden Empire Transit Dist. (2012) 209

Cal.App.4th 1228, 1238.)

Any party, within

the time allowed to respond to a pleading, may serve and file a motion to

strike the whole pleading or any part thereof.

(Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule

3.1322(b).) On a motion to strike, the

court may: (1) strike out any irrelevant, false, or improper matter inserted in

any pleading; or (2) strike out all or any part of any pleading not drawn or

filed in conformity with the laws of California, a court rule, or an order of

the court. (Code Civ. Proc., § 436,

subd. (a)-(b); Stafford v. Shultz

(1954) 42 Cal.2d ¶767, 782.)

Defendant argues

Plaintiffs have not alleged facts in their first, second, and third causes of

action to support their claims under Song-Beverly. Song-Beverly applies to "any new product or

part thereof that is used, bought, or leased for use primarily for personal,

family, or household purposes, except for clothing and consumables." (Civ.

Code, § 1791, subd. (a); see also Dagher v. Ford Motor Co. (2015) 238

Cal.App.4th 905, 927.) Plaintiffs allege

they purchased their vehicle used. (Complaint, ¶ 6.) A new motor vehicle for the purposes of Song-Beverly does not include a motor vehicle purchased with an unexpired manufacturer's new car warranty. (Rodriguez v. FCA US, LLC (2024) 17 Cal.5th 189, 196.)

In opposition, Plaintiffs rely on Kiluk v. Mercedes-Benz USA, LLC (2019) 43 Cal.App.5th 334. In that case, the Court of Appeal held the provisions of Song-Beverly which apply to used goods apply to a manufacturer who issues an express warranty on used vehicles if the manufacturer sells the used vehicles directly to the public. (Id. at p. 340.) However, Plaintiffs do not allege claims under the provisions of Song-Beverly which apply to used goods in the first, second, or third causes of action. Plaintiffs allege such a claim in their fourth cause of action, which Defendant does not challenge through the instant motion.

Accordingly, the Court sustains the demurrer to the first, second, and third causes of action without leave to amend.

Plaintiffs' fifth cause of action is fraudulent inducement. A party must allege fraud with particularity. "This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect." (Wilhelm v. Pray, Price, Williams & Russell (1986) 186 Cal.App.3d 1324, 1331.) "There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts." (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336, internal quotations and citations omitted.)

In this regard, Plaintiffs allege Defendant

knew the infotainment system in the vehicle they purchased had defects (Complaint, ¶ 49), and Defendant, nonetheless, concealed those defects from Plaintiffs (id., ¶¶ 54-55, 57).

However, a claim for fraud must result from “direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312.) Plaintiffs do not allege specific facts regarding Plaintiffs’ interactions with Defendant such that Defendant concealed these facts from Plaintiffs.

In opposition, Plaintiffs cite OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835 (OCM Principal), which is not on point. In that case, an investment bank made statements in an offering memorandum for a company’s promissory notes, which were misleading due to the bank’s failure to disclose other pertinent facts. The Court concluded the bank had a duty to disclose the company’s “circumstances to potential purchasers.” (Id. at p. 860.) In this case, however, Plaintiffs do not allege Defendant “ma[de] partial representations but also suppress[ed] some material facts.” (Id. at p. 859, internal quotations and citations omitted.) Instead, Plaintiffs allege Defendant had superior and exclusive knowledge of material facts which they did not know. (Complaint, ¶¶ 49, 63.) Plaintiff’s claims are premised on a distinct theory of liability, and OCM Principal is not relevant.

Likewise, Plaintiffs’ reliance on Bader v. Johnson & Johnson (2022) 86 Cal.App.5th 1094 (Bader) is misplaced. As the Court of Appeal noted in Bjoin v. J-M Manufacturing Co., Inc. (2025) 113 Cal.App.5th 884 (Bjoin), the dicta in Bader “is too broad and vague to constitute a standard which is applicable in other cases.” (Bjoin, supra, 113 Cal.App.5th at p. 904.)

Defendant, in turn, argues the economic loss rule bars the cause of action for fraud. But the economic loss rule does not apply to claims for fraud. (See Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843 [“under California law, the economic loss rule does not bar plaintiffs’ claim here for fraudulent inducement by concealment”]; see also County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 328 [Court of Appeal concluded the fraud cause of action was independent of a breach of contract claim and “the California Supreme Court’s decision in [Robinson Helicopter Co. v.

Dana Corp. (2004) 34 Cal.4th 979] precludes the application of the economic loss rule to any intentional affirmative fraud action where the plaintiff can establish that the fraud exposed the plaintiff to liability”].) Thus, this argument is unfounded.

Notably, in support of this contention, Defendant also cites *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 (*Rattagan*), which is not on point. *Rattagan* does not debunk the rationale discussed above in that the California Supreme Court confirmed “[a] case in which the plaintiff sues a contractual party for fraud based on conduct committed during the course of a contractual relationship falls outside the economic loss doctrine.” (*Id.* at 44.) Thus, the Court held “[u]nder California law, a plaintiff may assert a cause of action for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the claim can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.” (*Id.* at 45.) In the instant case, Plaintiffs allege they would not have purchased the vehicle Defendant manufactured if Defendant had not concealed facts from them. (Complaint, ¶¶ 59, 65.) As such, Plaintiffs’ allegations are of conduct which necessarily falls outside the contractual relationship.

The Court also notes, to the extent Defendant relies on the independent tort principle, such reliance is likewise misplaced. In *Rattagan*, the Court noted, “Whenever a contract breach causes physical harm to a person or property, the economic loss rule’s limitation gives way to the recognition that an independent tort duty of care was likely also breached, resulting in an injury not contemplated and provided for by the parties. This is so because any contractual breach resulting in physical injury or property damage normally resides outside the reasonable expectations of the parties when they entered their contractual relationship. The inverse may also be true. When a contractual breach results only in economic losses, the pecuniary injury may fall within the scope of parties’ precontractual expectations and their allocation of risks, and it is less likely to implicate the breach of a tort duty independent of their contractual rights and obligations.” (*Rattagan*, *supra*, 17 Cal.5th 1 at p. 26.)

As set

forth above, Plaintiffs allege they would not have purchased the vehicle

Defendant manufactured if Defendant had not concealed facts from them. (Complaint, ¶¶ 59, 65.) Thus, Plaintiffs' allegations are of conduct

which necessarily falls outside the contractual relationship, and independent tort principles do not bar Plaintiffs' claims.

Nonetheless, as

discussed above, in their fifth cause of action, Plaintiffs have not sufficiently

established through their allegations the threshold facts regarding their

interactions with Defendant, such that Defendant concealed material facts from them. Therefore, the demurrer to this cause of

action is sustained, but Plaintiffs will be given the opportunity to amend it.

Motion to Strike

As the Court

sustains Defendant's demurrer to the cause of action for fraud, the motion to

strike the punitive damages allegations is moot. However, the Court notes that Plaintiffs fail

to allege facts to support an award of punitive damages. To state a prima facie claim for punitive

damages, Plaintiffs must allege the elements set forth in the punitive damages

statute, Civil Code section 3294. (College Hospital, Inc. v. Superior Court (1994)

8 Cal.4th 704, 721 (College Hospital)

.) Pursuant to Civil Code section 3294,

subdivision (a), a plaintiff must allege the defendant has been guilty of

oppression, fraud, or malice. "Malice is

defined in the statute as conduct intended by the defendant to cause injury to

the Plaintiffs or despicable conduct which is carried on by the defendant with

a willful and conscious disregard of the rights or safety of others." (College

Hospital, supra, 8 Cal.4th at p. 725.) "The mere allegation an intentional tort was

committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of

oppression, fraud or malice, but facts must be alleged in the pleading to

support such a claim." (Grieves v. Superior Ct. (1984) 157

Cal.App.3d 159, 166, internal citations and footnotes omitted.)

Plaintiffs do not

allege any specific facts constituting malicious conduct, which could support

an award of punitive damages.

Accordingly, Plaintiffs fail to allege facts to support an award of

punitive damages.

CONCLUSION AND ORDER

Defendant's

demurrer to the first, second, and third causes of action in Plaintiffs' complaint is sustained without leave to amend.

Defendant's demurrer to the fifth cause of action in Plaintiffs' complaint is sustained with leave to amend.

Sustaining the

demurrer to the fifth cause of action renders the motion to strike Plaintiffs' punitive damages allegations moot. To the extent it is not moot, the motion to strike is granted.

Plaintiffs are to

file an amended complaint within 20 days of notice of this order.

Defendant is ordered

to provide notice of the Court's ruling and file proof of service of such.